

23CV01649 Peter Leroy Miller vs Samuel Gabriel Long, III et al

County: santa-barbara

Division: Civil Law & Motion

Department: 4 SB-Anacapa

Hearing date: 2026-08-28

Motion: Motion by Partition Referee for Discharge

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Tentative Ruling: Peter Leroy Miller vs Samuel Gabriel Long, III et al

Case Number

23CV01649

Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 08/28/2026 - 10:00

Nature of Proceedings

Motion by Partition Referee for Discharge

Tentative Ruling

For all reasons stated herein, the motion by partition referee Matthew L. Taylor for discharge and for instructions regarding disposition of remaining money is granted. The report and recommendation of partition referee in connection with real property claims filed on February 19, 2026, is confirmed as filed. Partition referee Matthew L. Taylor is directed to disburse the remaining funds in his possession as set forth in his February 19, 2026, report and recommendation.

Background:

(1) Complaint by Miller

On April 18, 2023, plaintiff Peter Leroy Miller (Miller) filed a verified complaint against defendants Samuel Gabriel Long III (Long) and Heather Veronica Gray (Gray) (collectively, Defendants), setting forth one cause of action for the partition by sale

of two properties located in Santa Barbara at 2535 De La Vina Street, APN 025-022-004 (Vina Property) and 1708 Castillo Street, APN 027-082-023 (Castillo Property) (collectively, the Properties). Miller alleges that he holds an undivided 70 percent interest in the Vina Property, in which Long also holds a 15 percent interest and Gray holds a 15 percent interest. (Compl., ¶¶ 3-5 & 17.) Long and Gray's interests in the Vina Property are held as husband and wife. (Id., ¶ 16.) Miller further alleges that he holds a 50 percent interest in the Castillo Property, in which Long also holds a 50 percent interest. (Id., ¶¶ 4 & 20-21.) Defendants Long and Gray have refused to sell or buy out Miller's interests in the Properties. (Id., ¶¶ 1 & 33-37.)

(2) Answer and Cross-Complaint by Defendants Long and Gray

On July 21, 2023, Defendants Long and Gray filed a verified answer to the complaint and filed a cross-complaint against Miller setting forth one cause of action for breach of contract. (Cross-Compl., ¶¶ 12-13 & 17-20.)

The cross-complaint alleges that Miller agreed to pay Long and Gray ten percent of monthly rents from the Properties and one thousand dollars for each lease signed or renewed at the Properties in exchange for property management services including maintenance and repair, tending to municipal inspections, tenant relations, lease signings and renewals, advertising, evictions, and payment of property taxes. (Cross-Compl., ¶ 25.)

In addition, cross-complaint alleges that Miller agreed that Long and Gray would earn equity interests in each of the Properties in exchange for their time and labor to rehabilitate and market the Properties. (Cross-Compl., ¶ 26.) For the Vina Property, Miller agreed to transfer thirty percent of his interest to Long and Gray. (Ibid.) For the Castillo Property, Miller agreed to transfer fifty percent of his interest. (Ibid.) The parties also agreed that major expenses, capital expenditures, repairs, maintenance, and property taxes would be shared. (Ibid.)

The contracts pertaining to the Properties are alleged to be separate oral agreements. The cross-complaint alleges that, on August 1, 1999, the parties entered into an oral agreement as to the Vina Property. (Cross-Compl., ¶ 22.) On August 25, 2000, the parties entered into an oral agreement as to the Castillo Property. (Cross-Compl., ¶ 23.)

The cross-complaint further alleges that, on January 1, 2001, Miller breached these oral agreements by failing to consistently contribute to the shared expenses as agreed, and by failing to compensate Long and Gray for the amounts attributable to 10 percent of rents and for the lease signing/renewal commissions. (Cross-Compl., ¶ 28.) As a result, Long and Gray sustained damages in excess of four hundred thousand dollars. (Id., ¶ 29.)

Miller filed a verified answer to the cross-complaint on August 22, 2023.

(3) Stipulated Interlocutory Judgment for Sale of Properties and Report on Distribution of Proceeds

On February 6, 2024, the court entered an Interlocutory Judgment of Partition by Sale of Real Property and Appointment of Referee (Interlocutory Decree), pursuant to stipulations filed by the parties and entered by the court on November 15, 2023, and December 26, 2023. (Interlocutory Decree, Exs. 1-2.)

Pursuant to the Interlocutory Decree, Matthew L. Taylor, Esq., was appointed as the partition referee (Referee). (Interlocutory Decree, p. 3, ll. 13-16.) The Referee "is appointed ... with full authority to sell the Propert[ies], to the highest and best net bidder, subject to confirmation of the Court, which manner of sale is hereby determined to be most beneficial to the parties." (Ibid.)

The Interlocutory Decree established that Miller and Long both own 50 percent of the Castillo Property, while the Vina Property is owned by Miller (70 percent), Long (15 percent), and Gray (15 percent). (Interlocutory Decree, p. 3, ll. 4-7.)

"After the Court has approved the sale of the Propert[ies] and the Referee has completed the sale of the Propert[ies], the Referee shall submit a written request to the Court with proposed instructions regarding how to disburse the proceeds from the sale of the Propert[ies] (collectively, the 'Sale Proceeds'). The written request for final distribution order shall cover the following subjects:

"a. Any liens and other encumbrances on the Propert[ies] shall be deducted from the Sale Proceeds and paid from the sale escrow and apportioned to the party responsible for placing said lien or encumbrance on the Propert[ies].

"b. Any appraisal, escrow, title fees, closing costs, and other costs of partition shall be deducted from the Sale Proceeds and paid through the sale escrow.

"c. Any broker's fees or commissions shall be deducted from the Sale Proceeds and paid through the sale escrow.

"d. Any costs of the Referee shall be paid by the Referee from the Sale Proceeds or from other proceeds obtained by the Referee for that purpose.

"e. Any professional fees of the Referee shall be paid by the Referee from the Sale Proceeds subject to court confirmation.

"f. Any attorney's fees/costs of the parties approved by the Court shall be paid from the Sale Proceeds pursuant to the manner provided in the future by any Court order regarding any party's motion for attorneys' fees, if any, and the Memorandum of Costs.

"g. Any claim for allowance, accounting, contribution, or other compensatory adjustment among the parties relating to the Property authorized by Code of Civil Procedure section 872.140 or otherwise allowable under California law, including but not limited to claims relating to periods of ouster, repair costs, mortgage payments, taxes, insurance, and other similar items.

"h. Any costs of partition allowed by Code of Civil Procedure section 874.010.

"i. Distribution of net proceeds to the parties as allowed by Code of Civil Procedure section 873.820." (Interlocutory Decree, p. 9, l. 14 – p. 10, l. 14.)

"In connection with the Referee's request for final distribution order, the Court authorizes and directs the Referee following the close of sale of the Property to investigate and report to the Court regarding any claims for compensatory adjustment between the parties, including those allowed by Code of Civil Procedure section 872.140, and including those claims relating to reimbursement, credit, or offsets arising from the prior period of joint ownership of the Property. The Referee is granted authority under Code of Civil Procedure sections 872.630(b) and 873.850 and shall be authorized to request from the parties' verified claims, interview witnesses, inspect the Property and otherwise take such other actions as may reasonably assist the Referee in discharging these duties. The Referee may establish a claims procedure and may establish a claims submission deadline for the submission of any claims relating to accounting and compensatory adjustments between the parties. The Referee shall create a report of his findings and recommendations to be submitted to the Court for review. Notwithstanding anything in the Referee's report and recommendations, the Court retains the authority to accept, deny, or modify any recommendations made by the Referee." (Interlocutory Decree, p. 10, l. 15 – p. 11, l. 2.)

(4) Sale of Properties

On January 31, 2025, the Referee filed a notice of completion of sale of the Castillo Property. The notice reported a sales price of \$950,000, with \$63,936.80 due to the seller after accounting for the sale proceeds and all costs and liabilities addressed in escrow. (Not. Sale Castillo Prop., Jan. 31, 2025.)

On February 18, 2025, the Referee filed a notice of completion of sale of the Vina Property. The notice reported a sales price of \$1,357,000.00, with \$482,180.57 due to the seller after accounting for the sales proceeds and all costs and liabilities addressed in escrow. (Not. Sale Vina Prop., Feb. 18, 2025.)

(5) Referee's Report on Recommended Distribution of Sale Proceeds

On February 19, 2026, the Referee filed a Report and Recommendation of Partition Referee in Connection with Real Property Claims (Report). The Report concerns the Castillo Property and the Vina Property. The Report notes the current ownership structure on the Properties was established by the Interlocutory Decree. The Vina Property is owned 70 percent by Miller, 15 percent by Long, and 15 percent Gray. (Report, p. 3, ll. 1-5.) The Castillo Property is owned 50 percent by Miller and 50 percent by Long. (Ibid.)

"The Properties were almost exclusively used as rental properties and incurred expenses including mortgages, insurance, and taxes. Throughout the ownership period, the Properties were refinanced numerous times through negative amortization mortgages and what appears to be cash-out refinance mortgages." (Report, p. 3, ll. 5-9.)

The Properties were sold by the Referee. (Report, p. 3, ll. 10-11.) A total of \$482,180.57 was transferred by the escrow officer to the Referee from the sale proceeds of the Vina Property and the Referee also received the buyer's deposit outside of escrow in the amount of \$41,250. (Id., p. 3, ll. 10-15 & Ex. 1.)

A total of \$63,936.80 was transferred by the escrow officer to the Referee from the sale proceeds of the Castillo Property and the Referee also received the buyer's deposit outside of escrow in the amount of \$28,500. (Report, p. 3, ll. 15-18 & Ex. 2.)

The Referee also collected rents on the Properties. (Report, p. 3, ll. 22-23.)

In total, the Referee is holding \$595,616.39 to be disbursed by the Court. (Id., p. 3, ll. 23-25 & Ex. 3.)

Pursuant to the Interlocutory Decree, the "Referee established a claims period and had the parties submit claims." (Report, p. 4, ll. 2-4.) Miller and Gray "submitted legal briefing, declarations, and documentary evidence to support their claims." (Id., p. 4, ll. 3-5.) "Long submitted minimal documentation and no formal briefing." (Id., p. 4, ll. 5-6.)

The Referee relied extensively on the general rule that allowable costs and fees are apportioned "in proportion to their interests or ... as may be equitable." (Report, p. 4, ll. 18-21; see Code Civ. Proc., § 874.040.)

Regarding the Vina Property, Miller made claims for the refinance of a loan by Defendants, allocation of the "Loretta Berlin loan," security deposits, rents, court sanctions, attorney fees, and referee fees. (Report, p. 7, ll. 13-23.) Gray made claims for property management fees, repairs or improvements, attorney fees, a deposit, referee fees, and attorney fees. (Report, p. 7, l. 25 – p. 8, l. 6.) Long made claims for property management fees, repairs or improvements, and an ownership interest of Vina. (Report, p. 8, ll. 8-12.)

Regarding the Castillo Property, Miller made claims for attorney fees, mortgage payments, allocation of the Loretta Berlin loan, security deposits, rents, attorney fees, and Referee fees and costs. (Report, p. 8, l. 17 – p. 9, l. 5.) Gray made claims for property management fees, repairs or improvements, and ownership interest in Castillo. (Report, p. 9, ll. 7-10.) Long made claims for property management fees and repairs or improvements. (Report, p. 9, ll. 12-15.)

(6) Claim for Rental Proceeds by Miller

The Report evaluated the parties' conflicting arguments on Miller's claims pertaining to the rents. (Report, p. 9, l. 24 – p. 14., l. 18.) The parties generally agree that Miller did not manage the Properties or collect rents and that Gray and Long were responsible for leasing and rent collection for the entire period at issue. (Report, p. 10, ll. 22-24.) Miller supports his claim for reimbursement of rents by relying on a spreadsheet provided by Gray and Long covering 1999-2016, and then extrapolating through the 2025 sale. (Report, p. 11, ll. 2-3.) Miller's rental income figures are not based on rent receipts, bank statements, or rent ledgers. (Report, p. 11, ll. 11-13.) Similarly, "Defendants [Long and Gray] ask the Court to accept decades of expense and fee claims while offering no corresponding documentary evidence of the rental income they alone received." (Report, p. 11, ll. 25-28.)

"The Partition Referee has spent hours reviewing the accounting records and evidence. What the Referee found was incomplete income estimates combined with random smatterings of expenses and banking documents. Nothing coherent or comprehensive was provided to the Referee to provide net income figures backed by supporting accounting documents (such as bank statements, checks, ledgers, receipts, and the like) for any of the years." (Report, p. 13, ll. 10-18.)

"Based on the documents provided during the claims period, any attempt to assign a specific net-rent figure would not meet the evidentiary standard, i.e., that it is more likely than not correct. [Miller's] burden is not merely to show that some rents were collected; it is to prove a specific net amount to be awarded as an offset. That burden has not been met given the record. In light of the foregoing, the Referee recommends that [Miller's] claim for reimbursement of net rental proceeds on the Properties be DENIED for both properties and for all time periods." (Report, p. 14, ll. 11-18.)

(7) Claims by Long and Gray for Property Management Fees

Long claims \$572,430.45 for property management fees. Gray claims \$509,839.60. (Report, p. 14, l. 26 – p. 15, l. 2.) "Combined, these claims exceed \$1,082,000—nearly double the total net proceeds available for distribution. Defendants claim they had an oral agreement with [Miller] under which they received equity in the properties as well as management and leasing fees. [Miller] denies that he ever agreed to pay management claims to Defendants; rather [Miller] claims the agreement was that he would provide the down payment and financing in exchange for Defendants' equity in the property for providing management and leasing services. [Citation.]" (Report, p. 15, ll. 2-9.)

The Report denied Gray's claims for Castillo management fees because Gray has no ownership interest in Castillo as established by the Interlocutory Decree and the statute of limitations has run as to any contract-based claims. (Report, p. 15, ll. 10-26.)

The Report also denied Gray's management fee claims as to both Properties on the grounds of equitable estoppel since the invoices Gray sought to rely on had not been produced in discovery when requested. (Report, p. 16, ll. 1-16.) "Defendant Gray possessed the invoices and failed to supply them in response to the September 2023 discovery requests. [Citation.] Defendant Gray declared in February 2025 that she had no additional responsive documents [citation] and produced nothing after the May 2025 court order, intending [Miller] to rely on the completeness of her discovery responses. [Miller] had no knowledge of the invoices until Defendant Gray's opposition brief.... Gray is estopped from relying on invoices she failed to produce in earlier discovery requests and a court order compelling production particularly where she declared she had no additional responsive documents." (Report, p. 16, ll. 6-18.)

"Even setting aside equitable estoppel, Defendants' management fee and leasing fee claims [also] fail because California law prohibits co-owners from claiming compensation for their personal services absent an express agreement. The established rule in California is that co-owners may not claim compensation for their personal labor or services in managing co-tenancy property in a partition accounting." (Report, p. 17, ll. 19-24, citing *Goodenow v. Ewe* (1860) 16 Cal. 461 (*Goodenow*); *Combs v. Ritter* (1950) 100 Cal.App.2d 315 (*Combs*).)

"Over a relationship spanning more than twenty years (1999-2023), [a] single email is the only evidence offered as [Miller's] alleged agreement to management fees. There are no written management agreements and no demand letters for unpaid management fees. More importantly, there appears to be no evidence that either Defendant ever paid themselves a

management fee despite the fact that the Defendants were in sole control of the rental income stream for approximately two decades. The absence of any such documentation and the absence of prior management payments over two decades substantially undermines the claim that an agreement existed as between [Miller] and Defendants for the payment of management fees.” (Report, p. 18, l. 20 – p. 19., l. 1.)

“All told, Defendant Gray fails to sustain her burden of proof to prove that she is entitled to management fees for any of the years in question for either of the [P]roperties. Although she supplied some proof, the Referee finds that the level of proof supplied is not convincing and does not provide a comprehensive accounting of rents at the properties sufficient to show that she is entitled to be paid any rental income nor to overcome the general rule that co-owners in a partition action cannot collect for the value of their own time.” (Report, p. 21, ll. 15-21.)

“Defendant Long claims \$572,430.45 in property management fees but provides no supporting documentation, no legal authority, no invoices, no accounting, and no explanation of how this figure was calculated. [Citation.] Defendant Long’s claim is a bare assertion unsupported by evidence. He has failed to sustain his burden of proof that there was any agreement, that he incurred any costs, or that he earned anything.” (Report, p. 21, l. 22 – p. 22, l. 1.)

“Based on the foregoing, the Referee recommends the following: [¶] Defendant Gray’s Castillo claim for \$167,117.60 in management fees is DENIED for lack of standing as non-owner. [¶] Defendant Gray’s De La Vina claim for \$337,722.00 in management fees is DENIED due to equitable estoppel, absence of express agreement under Goodenow/Combs, and substantial inconsistencies in the evidence provided. [¶] Defendant Long’s claim for \$572,430.45 in management fees is DENIED for complete absence of supporting evidence.” (Report, p. 22, ll. 5-15.)

(8) Claims by Long and Gray for Repairs and Improvements

Defendant Gray claims \$142,842 in repair and improvement expenses. (Report, p. 32, ll. 27-28.) “Simply put, Defendant Gray provided no proof that these expenses were incurred or paid by her, and she provides no proof that the expenses were not paid from the income stream of the properties that she was managing.... Consequently, the Referee recommends rejection of all of her accounting claims on the basis that they are not supported by the type of evidence that would be expected for such a claim.” (Report, p. 35, l. 16 – p. 36, l. 6.) “On this record, Defendant Gray has not established her repair claim of \$142,842.00 by a preponderance of the evidence. The claim rests entirely on self-generated invoices from an entity she owns, and without third-party substantiation. The Referee finds that she did not sustain her burden of proof for this reimbursement claim.” (Report, p. 36, ll. 15-19.)

Defendant Long claims \$153,230 in repairs and improvements. (Report, p. 36, ll. 22-28.) “Defendant Long provides no invoices, no receipts, no itemization, and no breakdown by property. Defendant Long’s claim may also overlap with Defendant Gray’s. Without any supporting documentation, Defendant Long has not met the burden of establishing this claim by a preponderance of the evidence, and his claim on this subject should be rejected in its entirety.” (Ibid.)

“Based on the foregoing analysis, the Referee recommends as follows: [¶] Defendant Gray’s claim of \$142,842.00 for repairs and improvements to the [] Vina Property is DENIED. [¶] Defendant Gray’s claims for repairs and improvements to the Castillo Property are DENIED. [¶] Defendant Long’s claim of \$153,230.00 for repairs and improvements to the [] Vina Property is DENIED. [¶] Defendant Long’s claims, if any, for repairs and improvements to the Castillo Property are DENIED.” (Report, p. 37, ll. 1-13.)

(9) Claims by Miller and Gray for Attorney Fees and Costs

Costs of partition may include, “[r]easonable attorney’s fees incurred or paid by a party for the common benefit.” (Code Civ. Proc., § 874.010.) The Interlocutory Decree provided for the allocation of “[a]ny costs of partition allowed by Code of Civil Procedure section 874.010.” (Interlocutory Decree, p. 9, l. 14 – p. 10, l. 14.)

Miller claims \$106,753.77 in attorney's fees and costs, as part of the partition proceeding. (Report, p. 23, ll. 12-13.) "The claim for attorney's fees and costs is supported by detailed hourly billing showing the date, amount, and description of each charge." (Report, p. 23, ll. 18-19.) "The Partition Referee has reviewed the hourly billing invoices and finds them to be fair and reasonable for the type of work involved in this partition action.... The Partition Referee recommends [Miller's] attorney's fees and costs in the total amount of \$106,753.77 be GRANTED." (Report, p. 23, ll. 20-27.) The Referee made an accounting adjustment since Miller's attorneys were already paid \$111,369.97 from the Castillo escrow, representing an overpayment of \$4,616.20. (Report, p. 29, ll. 1-24; see also Not. Sale Castillo Prop., Jan. 31, 2025, Ex. 1.)

Gray makes a claim for attorney's fees of \$25,016.50. (Report, p. 24, ll. 2-3.) "However, certain items totaling \$1,989.00 do not relate to the properties in this partition action, but rather pertain to separate properties" (Report, p. 24, ll. 9-14.) "These matters are outside the scope of the partition action and are therefore not compensable from partition proceeds. The Partition Referee recommends Defendant Gray's attorney's fees in the amount of \$23,027.50 (\$25,016.50 less \$1,989.00) be GRANTED." (Report, p. 24, ll. 15-17.)

Miller's attorney fees were allocated 50 percent to the Vina Property and 50 percent to the Castillo Property. (Report, p. 24, l. 19 – p. 25, l. 1.) Gray's attorney fees were allocated 100 percent to the Vina Property since she has no ownership of Castillo. (Ibid.) Long made no claim for attorney fees.

As to allocation between the parties, "[f]or the ... Vina property, attorney's fees and costs are allocated in proportion to ownership interests: 70% to Plaintiff [] Miller, 15% to Defendant Long, and 15% to Defendant Gray. For the Castillo property, 50% to Plaintiff [] Miller and 50% to Defendant Long." (Report, p. 24, ll. 17-21.) The Referee declined to alter these ownership-based allocations as to any party.

(10) Claims by Miller for Allocation of Loretta Berlin Loans

"Both properties were in mortgage default when the Referee was appointed. All parties, including [Miller], Defendants Long and Gray, and Referee stipulated to authorize the Referee to procure these loans from Loretta Berlin (Defendant Gray's mother). The Court entered an order approving the stipulation, and the Referee, as borrower, obtained the loans to cure the mortgage defaults while marketing the properties for sale." (Report, p. 38, ll. 4-12.)

"Plaintiff [Miller] requests that the total cost of the 'Loretta Berlin' loans be deducted 100% from Defendant Long's share of the proceeds: \$42,027.40 for the De La Vina Property [citation] and \$62,547.95 for the Castillo Property [citation]. These are two loans that the Partition Referee obtained from Heather Gray's mother Loretta Berlin, and the proceeds were used to pay off mortgage defaults and to bring both properties current on their loans until the properties could be sold. Both loans to Loretta Berlin were made with court approval." (Report, p. 37, ll. 19-28.)

"To deviate from the statutory default of proportional allocation, [Miller] bears the burden of proving that Defendant Long's conduct warrants charging him with 100% of these common benefit costs. The record contains no bank statements, no financial records, no forensic accounting and no subpoenaed documents showing Defendant Long's rent collection, deposits, or expenditures." (Report p. 38, l. 25 – p. 39, l. 2.)

"Based on the evidence submitted, the Partition Referee does not know how much Defendant Long collected in rents at any time, let alone in the few months before the Loretta Berlin loans were required. The Referee recommends that Plaintiff's request to allocate 100% of the Loretta Berlin loans on the De La Vina and Castillo properties to Defendant Long is DENIED." (Report, p. 39, ll. 6-8.)

(11) Claim by Miller for Refinance Proceeds

"Plaintiff [Miller] seeks reimbursement of \$104,776.36, representing his 70% share of the \$149,680.52 increase in indebtedness caused by Defendants' unauthorized 2018 cash-out refinance of the [] Vina Property." (Report, p. 39, ll. 21-24.)

"The Final Settlement Statement from this [Vina Property] refinance reflects payoff of a prior loan along with an entry showing a payment directly to Defendant Gray ... in the amount of \$104,756." (Report, p. 40, ll. 7-9.) "The Referee notes a discrepancy

between the escrow closing statement that appears to show Defendant Gray got \$104,756 and her own declaration in which she acknowledges receipt of \$101,170.28. The Partition Referee believes that Defendant Gray's admission is stronger evidence and adopts the amount of \$101,170.28 as the amount that Defendant personally received for the 'cash-out' portion of this loan refinance." (Report, p. 40, ll. 14-20.) "The closing statement, Defendant Gray's own admissions, and [Miller's] uncontroverted declaration establish every element of this claim. [Miller] is entitled to an offset of 70% of the \$101,170.28 (i.e. \$70,819.19) that Defendant Gray received from this cash-out refinance." (Report, p. 41, ll. 4-7.)

(12) Claims for Security Deposits Re Vina Property

"Plaintiff [Miller] has not established which co-owner collected the specific deposits at issue or whether they were use[d] or property transferred to the new owners. Absent sufficient evidence to allocate responsibility to a particular co-owner, the Referee recommends that the cost of the security deposit be borne by all co-owners as a cost of sale and [Miller's] security deposit claim for the De La Vina property is DENIED." (Report, p. 42, ll. 11-16.)

(13) Claims by Miller Re Court-Ordered Discovery Sanctions

The court issued discovery sanctions against Long and Gray jointly in the amount of \$2,420 and ordered Long to pay an additional \$1,725 and \$3,222.50 in sanctions. (See Minute Order, Oct. 25, 2024; Minute Order, May 16, 2025.) "Accordingly, the Referee recommends that the unpaid sanctions be GRANTED and deducted from Defendants' shares of the net proceeds, with \$1,210 deducted from Defendant Gray's share and \$6,157.50 deducted from Defendant[] Long's share of the [] Vina Property's net proceeds and each paid to Plaintiff Miller." (Report, p. 43, ll. 7-10.)

(14) Claim by Gray for Downpayment Deposit on Vina Property

"Defendant Gray claims reimbursement of \$10,000, asserting she paid this sum to Plaintiff toward his downpayment on the [] Vina Property in March 2000. [Citation.]" (Report, p. 43, ll. 15-16.) "California's partition laws limit reimbursement claims to expenses incurred during periods of common ownership. [Citation.] A payment made nearly two decades before common ownership commenced is not a property-related expense subject to contribution in this partition accounting. The Referee recommends that Defendant Gray's claim for \$10,000 downpayment reimbursement be DENIED." (Report, p. 43, l. 23 – p. 44, l. 1.)

(15) Claim by Miller for HELOC Loan Reimbursement Re Castillo Property

"[Miller's] claim for reimbursement of payments made on a debt that was incurred during his period of sole ownership [of Castillo] is barred because contribution claims in a partition action can only be made during periods of joint ownership. The Referee finds that California's partition laws do not allow a co-owner to make reimbursement claims for expenses incurred prior to the period of joint ownership." (Report, p. 47, ll. 19-22.) "The WAMU HELOC was originated on August 28, 2002, when [Miller] held sole ownership [of Castillo]. It was satisfied in December 2003, redrawn in July 2004 with proceeds distributed to Defendant Long in 2004—all prior to common ownership. Common ownership did not commence until May 5, 2005, nearly three years after the WAMU HELOC originated. Under *Wallace v. Daley*, 220 Cal.App.3d 1039 (1990), reimbursement for expenses must be limited to those incurred during a period of common ownership." (Report, p. 48, ll. 7-13.) "Therefore, the Referee recommends that [Miller's] reimbursement claim for the WAMU/Chase HELOC payments in the amount of \$27,775.58 should be DENIED." (Report, p. 49, ll. 3-5.)

(16) Claim by Gray for Ownership in Castillo Property

“Defendant Gray makes a claim for ownership interest in Castillo in her Supplemental Request for Distribution filed August 8, 2025 asserting that Defendant Long defrauded her out of 25% ownership interest by convincing her to deed her interest to him for financing purposes with a promise to return it that was never fulfilled.” (Report, p. 49, l. 27 – p. 50, l. 2.) However, “[e]arlier in this litigation, all parties—including Gray—stipulated to the [Interlocutory Decree], which established the ownership interests for both [] Vina and Castillo. [Citation.] The Court entered its Interlocutory [Decree] providing that Castillo was owned 50% by Plaintiff and 50% by Defendant Long.” (Report, p. 50, ll. 6-10.) “A stipulation to an interlocutory judgment constitutes a judicial admission that operates as ‘a conclusive concession of the truth of [that] matter, thereby removing it from the issues.’ [Citation.]” (Report, p. 50, ll. 11-14.) “Therefore, the Referee recommends that Defendant Gray’s claim for an ownership interest in Castillo be DENIED. (Report, p. 50, ll. 16-18.)

(17) Claims for Security Deposits Re Castillo Property

“For the same reasons set forth earlier in connection with the tenant security deposits relating to the [] Vina property, the Partition Referee recommends that this claim be DENIED in its entirety. There is no proof submitted about the amount of the collected deposits, who collected them, whether they were used for proper purposes, or whether they were misappropriated by one of the parties.” (Report, p. 49, ll. 17-22.)

(18) Allocation of Referee Fees

“The Referee’s total fees of \$53,029 relate to work performed on both the Castillo and [] Vina [P]roperties. The Referee recommends allocating these fees equally between the two [P]roperties given that the work benefited both [P]roperties. [¶] The Referee’s fees shall be paid from the gross sales proceeds of each property in

accordance with the proportional allocation ... to the parties.” (Report, p. 51, ll. 18-27.)

(19) Recommended Distribution of Proceeds

“FINAL SUMMARY FOR BOTH PROPERTIES

“The \$595,616.39 held by the Referee should be divided as follows:

“To Referee Matthew L. Taylor: \$53,029

“To Plaintiff’s Attorney Talkov Law: \$0 (previously paid [from escrow])

“To Defendant Gray’s Attorney John Thyne: \$23,027.50

“To Plaintiff Miller:

“Net from Vina \$341,314.47

“Net from Castillo \$60,178.73

“TOTAL \$401,485.20

"To Defendant Long:

"Net from Vina \$52,987.85

"Net from Castillo \$64,786.93

"TOTAL \$117,774.77

"To Defendant Heather Gray:

"Net from De La Vina \$0

"Net from Castillo \$0

"TOTAL \$0" (Report, p. 57, ll. 2-16.)

(20) Motion for Discharge and Instructions by Referee

On February 26, 2026, the Referee filed a motion for discharge and for instructions regarding disposition of remaining money. "The Partition Referee has completed all of his duties in this case, has sold the two parcels of real property that are the subject of this action, and is holding \$595,616.39 awaiting final orders from the court as to the disposition of the funds." (Motion, p. 2, ll. 10-12.) "In this motion, the Referee seeks approval of fees incurred in this matter in the amount of \$53,029 and an order to pay those fees from funds generated by the sale of the real property that is the subject of this action." (Motion, p. 2, ll. 14-17.) "In this motion, the Referee seeks an order from this Court directing the Referee on disposition of the remaining funds. The Partition Referee seeks an order either (1) directing the Referee to deposit the funds with the Clerk of the Court pending further order or (2) an order directing the Partition Referee to disburse the funds as set forth in the Partition Referee's previously-filed 'REPORT AND RECOMMENDATION OF PARTITION REFEREE IN CONNECTION WITH REAL PROPERTY CLAIMS' [citation]." (Motion, p. 2, ll. 19-26.)

The court's records indicate this motion was served on Long, Gray, and Miller. On June 12, 2026, Miller filed objections to the Report. On August 3, 2026, Gray filed an opposition. Long has not filed any opposition or other responsive document to the present motion.

Analysis:

(1) Opposition by Gray

Gray argues, "[t]he recommendation should be rejected because it resolves substantial disputed issues of fact without an evidentiary hearing, improperly rejects evidence corroborating the parties' agreements, and applies legal principles that are inconsistent with the unique facts of this joint venture." (Gray Opp., p. 2, ll. 8-11.)

Gray argues the Report "ignores the fact that Mr. Miller was a passive investor who never managed the properties for 25 years and never paid Ms. Gray for her decades of service in managing, repairing, maintaining, and caring for the real properties." (Gray Opp., p. 2, ll. 12-17.)

Gray argues, “[t]he Report summarily rejects the fact that Samuel Long, Ms. Gray’s abusive husband, dispossessed her of any ownership interests in one of the properties but has not been held to account therefore.” (Gray Opp., p. 2, ll. 18-22.)

Gray argues, “[t]he central issue before the Court is not whether Ms. Gray has conclusively proven every element of every claim regarding her rights to distributions. Instead, the issue is whether there exist substantial factual disputes that require judicial determination before proceeds can be distributed.” (Gray Opp., p. 2, ll. 24-28.)

Gray argues that there are factual disputes as to the following issues:

“1. Whether Peter Miller expressly agreed that Ms. Gray would receive property management fees and leasing commissions.

“2. Whether Peter Miller repeatedly acknowledged those obligations in emails and accounting records.

“3. Whether Ms. Gray’s \$10,000 contribution toward the downpayment, in comparison to Mr. Miller’s initial contribution of \$30,000 constituted grounds to adjust her interests.

“4. Whether Ms. Gray expended substantial personal funds for repairs, maintenance, insurance, taxes, mortgage payments, and preservation of the properties.

“5. Whether Peter Miller received substantial cash-out refinance proceeds for his own benefit that must be accounted for before final distribution.

“6. Whether Ms. Gray possesses an ownership interest in the Castillo property that was improperly disregarded.

“7. Whether equity requires reimbursement to Ms. Gray for decades of services and

expenditures that preserved and enhanced the value of the properties.

“8. Whether Mr. Miller deducted the costs of management fees and leasing commissions on his taxes despite not having paid any of them to Ms. Gray. (Gray Opp., p. 3, ll. 1-19.)

As argued by Gray, “Ms. Gray submitted sworn testimony [to the Referee] that the parties entered into a joint venture agreement under which she would manage the properties for a ten percent management fee and receive leasing commissions for securing tenants. She further submitted evidence that Peter Miller acknowledged those obligations in emails and accounting records.” (Gray Opp., p. 3, ll. 25-28.)

As argued by Gray, “[t]he evidence and arguments submitted by Ms. Gray, attached in Exhibit A, including her sworn declaration, demonstrates that for decades she managed the properties, coordinated repairs, dealt with tenants, paid expenses, addressed maintenance issues, arranged leasing activities, and personally advanced funds for the benefit of the properties. The referee’s recommendation effectively ignores these contributions and instead recommends a distribution that awards Ms. Gray nothing whatsoever. Such a result is contrary to the fundamental equitable principles underlying California partition law.” (Gray Opp., p. 5, ll. 6-12.)

As argued by Gray, "Ms. Gray submitted sworn testimony that Peter Miller agreed she would receive property-management fees equal to ten percent of rents collected and leasing commissions for obtaining tenants. Ms. Gray further produced documentary evidence and emails reflecting Mr. Miller's acknowledgement of those obligations." (Gray Opp., p. 5, ll. 24-28.)

As argued by Gray, "[a] referee may recommend findings, but disputed issues of credibility and contested contractual terms involving hundreds of thousands of dollars should not be resolved through summary rejection of sworn testimony without an evidentiary hearing." (Gray Opp., p. 6, ll. 2-5.)

As argued by Gray, "Ms. Gray presented evidence that [Miller] acknowledged management fees and leasing commissions in communications exchanged during the parties' relationship and during discussions concerning buyouts of ownership interests. To the extent [Miller] induced Ms. Gray to continue providing services in reliance upon those acknowledgments, equitable estoppel principles further support consideration of her claims." (Gray Opp., p. 6, ll. 20-24.)

Gray concludes, "[t]he incontrovertible evidence before the Referee established at minimum that:

- "• Ms. Gray devoted decades to management and leasing activities;
- "• Ms. Gray established claims to substantial unreimbursed expenditures;
- "• Ms. Gray claims ownership interests that remain disputed (based upon fraud committed by Samuel Long);
- "• Ms. Gray provided sworn testimony supporting those claims; and
- "• Significant documentary evidence was submitted in support as seen in Exhibit A." (Gray Opp., p. 7, ll. 5-14.)

Gray requests that, "[a]t minimum, this Honorable Court should conduct an evidentiary hearing concerning:

- "1. The existence and terms of the parties' joint venture agreement;
- "2. Ms. Gray's management fee and leasing commission claims;
- "3. Ownership interests in the Castillo property;
- "4. Reimbursement claims for repairs, improvements, taxes, insurance, and mortgage payments;
- "5. Cash-out refinance proceeds received by Peter Miller; and
- "6. The proper equitable allocation of sale proceeds." (Gray Opp., p. 7, ll. 16-24.)

Addressing Gray's opposition, the primary objections by Gray pertain to a factual dispute over her alleged entitlement to management fees and reimbursements for management-related activities. However, Gray does not dispute the Referee's finding that Gray failed to produce in discovery the records she relied upon to support these management fees. The Referee's finding that Gray failed to meet her burden of proof is supported by the record. Similarly, Gray does not dispute the Referee's finding that she did not carry her burden as to the repair and maintenance costs. Gray's primary objection to the Report is that Gray has created disputed facts on certain issues. The court finds these arguments are insufficient to justify modification of the Report or to warrant further fact finding proceedings before the court. The court declines to exercise its discretion to take further testimony on these issues as part of the partition process. (Code Civ. Proc., § 873.850.)

In addition, the court notes it issued a minute order on July 31, 2026, ordering that, "[o]n or before August 17, 2026, Gray shall file her objections with the court and a proof of service indicating service on all parties and the partition referee." On August 17, 2026, Gray filed a document entitled, "supplemental request for distribution per partition accounting; declaration of Heather Gray." The document is dated August 7, 2025, and does not address the Report. Miller disputes whether these documents were served properly and objects to their contents. The court has reviewed this August 17 filing by Gray and it does not change or alter the court's conclusions on Gray's opposition brief filed on August 3, as set forth above.

(2) Objections by Miller

Miller argues that Long's discovery misconduct warrants a different finding than recommended by the Referee as to Miller's claim for rents that Long collected for himself. "The Court should hold, as a threshold matter, that Long's willful suppression [of evidence in discovery] triggers an adverse evidentiary presumption under Evidence Code sections 412 and 413 and the Court's sanctions order, resolving all record-based uncertainty against Long. So resolved, the presumption establishes that Long collected the rents the suppressed records would document and diverted them while the mortgage defaulted. This predicate powers independently warrants reversing the net-rental denial and crediting Miller's claimed net rents against Long — \$481,634.58 on De La Vina and \$25,350.66 on Castillo, totaling the \$506,985.24 in rent identified above. [Citation.] Because recovery is capped at the funds held and the amount tentatively allocated to Long merely based on a few years' collection calculated between Gray and the property managers' records reduces Long's distribution to zero." (Miller Obj., p. 14, ll. 7-16.)

Miller also argues that the Loretta Berlin loans should be allocated to Long. "The Referee's stated ground — 'no bank statements, no financial records, no forensic accounting' — is the exact uncertainty Section A resolves. Those records exist only in Long's hands; the Court already found his refusal to produce them 'willful' and that they 'would be entirely in the possession of Long.' [Citation.] Under section 413, the inference is that the records would show Long collected and diverted the rents. Gray's declaration confirms that from approximately 2019 Long collected rents and failed to pay the secured loans [citation] and the property managers' accountings prove the amount of the rent." (Miller Obj., p. 15, ll. 14-20.)

Miller also argues for additional attorney fees. "Since the August 8, 2025, submission to the referee of the attorney fees, Miller has incurred \$15,876.00 in fees (32.9 hours) and \$416.84 in costs — \$16,292.84 total — bringing the cumulative common-benefit total to \$123,046.61, which exceeds the \$111,369.97 paid by \$11,676.64. [Citation.] The Referee's \$4,616.20 'overpayment' finding, and the resulting credit to Long, should be stricken; and if any proceeds remain to cover the additional attorney fees of Plaintiff, they should be allocated 100% to Defendant Long or, alternatively, based on the parties' proportionate interests" (Miller Obj., p. 17, ll. 16-23.)

Addressing the objections by Miller, it is true that the court issued evidentiary sanctions against Long, but the court did not impose issue sanctions or change the burden of proof in the partition proceedings before the Referee. (Minute Order, May 16, 2025 ["Evidentiary sanctions are imposed barring [] Long III from introducing any documentary evidence, that he has not produced to [Miller], through today's date, that is responsive to requests for production of documents...."].) As found by the Referee, the burden of proof was still on Miller to prove his claims of rent based on evidence of collection by Long. (Evid. Code § 500.)

The Referee considered the evidentiary sanctions against Long and carefully weighed the evidence before the Referee in determining that Miller did not carry his burden on claims pertaining to Long's collection of rents. The Referee's actions were consistent with Evidence Code sections 412 and 413, and the court's sanctions order. There is no indication in the record

that the Referee permitted Long to submit evidence in violation of the court's evidence sanctions, the Report indicates that the Referee did view evidence by Long with distrust, and the record indicates that the Referee properly considered Long's discovery misconduct in making his recommendations. The court declines to disturb the Referee's findings on these issues.

As to Miller's argument for additional attorney fees, the parties had their opportunity to make arguments as to attorney fees during the claims process agreed upon in the Interlocutory Decree. The Referee is entitled to account for "[r]easonable attorney's fees incurred or paid by a party for the common benefit." (Code Civ. Proc., § 874.010.) Miller also argues that the attorney fees by Gray were not for the common benefit because Gray did not prevail on her substantive claims. However, the Referee disagreed and determined that Gray's attorney fees were for the common benefit of the partition proceeding and granted this claim. The court declines to disturb the Referee's finding of attorney fees under Code of Civil Procedure section 874.010.

(3) The Court will Grant the Referee's Motion and Confirm the Report as Filed

"A co-owner of real or personal property may bring an action for partition. [Citation.] 'The primary purpose of a partition suit is ... to partition the property, that is, to sever the unity of possession. [Citations.]' 'Partition is a remedy much favored by the law. The original purpose of partition was to permit cotenants to avoid the inconvenience and dissension arising from sharing joint possession of land. An additional reason to favor partition is the policy of facilitating transmission of title, thereby avoiding unreasonable restraints on the use and enjoyment of property. [Citations].' '[A]lthough the action of partition is of statutory origin in this state, it is nonetheless an equitable proceeding.'

" 'If the court finds that the plaintiff is entitled to partition, it shall make an interlocutory judgment that determines the interests of the parties in the property and orders the partition of the property and, unless it is to be later determined, the manner of partition.' [Citation.] The manner of partition may be 'in kind'—i.e., physical division of the property [citation]—according to the parties' interests as determined in the interlocutory judgment. [Citations.] Alternatively, if the parties agree or the court concludes it 'would be more equitable,' the court may order the property sold and the proceeds divided among the parties. [Citation.]" (Cummings v. Dessel (2017) 13 Cal.App.5th 589, 597, internal quotation marks omitted.)

"The court shall appoint a referee to divide or sell the property as ordered by the court." (Code Civ. Proc., § 873.010, subd. (a).) "The court in its discretion may appoint a referee for sale and a referee for division, or may appoint a single referee for both." (Code Civ. Proc., § 873.020.) "The court shall appoint as referee under this title any person or persons to whose appointment all parties have consented." (Code Civ. Proc., § 873.040.) "The referee may perform any acts necessary to exercise the authority conferred by this title or by order of the court." (Code Civ. Proc., § 873.060.) "The referee appointed by the court to make a sale of the property shall sell the property in the manner and following the procedures provided in this chapter." (Code Civ. Proc., § 873.510.) The court may "instruct the referee." (Id., subd. (b)(2).)

"The referee or any party may, on noticed motion, petition the court for instructions concerning the referee's duties under this title." (Code Civ. Proc., § 873.070.) "The court shall order the proceeds of sale ... to be paid ... to or for the benefit of the persons in interest entitled thereto, as may be appropriate or as specifically provided in this article." (Code Civ. Proc., § 873.810.) If disputes remain as to allocation of proceeds, such disputes "must be ascertained and adjudged by the court" and "[f]urther testimony may be taken in court, or by a referee, at the discretion of the court, and the court may, if necessary, require such parties to present the facts or law in controversy, by pleadings, as in an original action." (Code Civ. Proc., § 873.850.)

"Although his or her report and recommendation is advisory, the referee clearly serves as the initial examiner of the facts, and perhaps the law, in a partition action, under the aegis of the appointing court. The referee's determinations are either accepted by the court, modified, or set aside." (Gray v. Superior Court (1997) 52 Cal.App.4th 165, 171.) "Any party, upon notice to the other parties who have appeared, may move the court to confirm, modify, or set aside the [referee's] report of [division]." (Code Civ. Proc., § 873.290, subd. (a).) "At the hearing, the court may either confirm the report as filed or as the court may modify and enter judgment of partition accordingly or set aside the report and order preparation of a new report and, if necessary, appoint a new referee for this purpose." (Id., subd. (b).) "The division is effective and title vests in accordance therewith upon entry of judgment of partition." (Id., subd. (c).)

The Referee dedicated over 199 hours since he was appointed in this action. (Declaration of Mathew L. Taylor, Ex. 4.) Since the Interlocutory Decree, the records indicate the Referee communicated with the parties about these issues, attended court hearings, and worked diligently to resolve difficult factual disputes between the parties spanning over two decades. (Ibid.) The Referee filed four volumes of evidence consisting of 1,160 pages that were considered in connection with the Report. (App. Claims to Referee, Vos. 1-4, filed Feb. 19, 2026.)

The court has reviewed the Report, the supporting evidence, the supporting legal citations, and evaluated the oppositions and objections filed by Gray and Miller. The court finds the Referee carefully evaluated the evidence, prepared and filed a well-reasoned Report, made appropriate conclusions of law, and made appropriate factual findings that were supported by the evidence. For all these reasons, the court will confirm the Report as filed. (Code Civ. Proc., § 873.290, subd. (b); see also Interlocutory Decree, p. 10, l. 15 – p. 11, l. 2.) The court will also order “the proceeds of sale ... to be paid ... to or for the benefit of the persons in interest entitled thereto” (Code Civ. Proc., § 873.810; see also Interlocutory Decree, p. 9, l. 14 – p. 10, l. 14.)

Judges

Judge Donna D. Geck

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